July 12, 2021

VIA ELECTRONIC MAIL

Hon. Michelle Phillips
Secretary to the Commission
New York State Public Service Commission
Three Empire State Plaza
Albany, New York 12223

Re: CASE 19-G-0309 – Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service

CASE 19-G-0310 – Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service

Dear Secretary Phillips:

Alliance for a Green Economy, Sane Energy Project, Robert Wood, Margot Spindelman, Katherine Thompson hereby submit for filing our post-hearing brief for filing in the above referenced proceedings.

/s/
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BEFORE THE NEW YORK STATE
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service	)	CASE 19-G-0309
Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service	)	CASE 19-G-0310

POST HEARING BRIEF
BY ALLIANCE FOR A GREEN ECONOMY, SANE ENERGY PROJECT, ROBERT WOOD, MARGOT SPINDELMAN, KATHERINE THOMPSON

July 12, 2021

Post-hearing Brief on behalf of Alliance for a Green Economy, Sane Energy Project, and Robert Wood, Margot Spindelman, Katherine Thompson
("the environmental and community parties")

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I. Introduction

In this post-hearing brief, the environmental and community parties urge the Public Service Commission ("Commission") to reject the Joint Proposal filed in the above referenced proceeding by National Grid's downstate companies "KEDNY" and "KEDLI" ("the Companies"), the Department of Public Service Staff ("Staff"), and other parties. The Joint Proposal violates Section 7 of the Climate Leadership and Community Protection Act ("CLCPA") and therefore does not meet the standard of review for settlements in rate cases. The Commission is obligated to fully comply with the CLCPA in this rate proceeding and in all rate proceedings when approving new gas infrastructure projects, no matter the purported justification for the projects.

Sections 7(1) and 7(2) of the CLCPA state:

> All state agencies shall assess and implement strategies to reduce their greenhouse gas emissions. In considering and issuing permits, licenses, and other administrative approvals and decisions, including but not limited to the execution of grants, loans, and contracts, all state agencies, offices, authorities, and divisions shall consider whether such decisions are inconsistent with or will interfere with the attainment of the statewide greenhouse gas emissions limits established in article 75 of the environmental conservation law. Where such decisions are deemed to be inconsistent with or will interfere with the attainment of the statewide greenhouse gas emissions limits, each agency, office, authority, or division shall provide a detailed statement of justification as to why such limits/criteria may not be met, and identify alternatives or green-house gas mitigation measures to be required where such project is located.

Section 7(3) of the CLCPA states:

> In considering and issuing permits, licenses, and other administrative approvals and decisions, including but not limited to the execution of grants, loans, and contracts, pursuant to article 75 of the environmental conservation law, all state agencies, offices, authorities, and divisions shall not disproportionately burden disadvantaged communities as identified pursuant to subdivision 5 of section 75-0101 of the environmental conservation law. All state agencies, offices, authorities, and divisions shall also prioritize reductions of greenhouse gas emissions and co-pollutants in disadvantaged communities as identified pursuant to such subdivision 5 of section 75-0101 of the environmental conservation law.

II. DPS Staff's claim that the Commission's adoption of a rate order "may not fall within the actions identified by CLCPA §§7(2) and 7(3)" has no basis and is clearly inconsistent with the plain language of the statute.

DPS Staff attempted to distinguish between "merely set[ting] rates" and issuing permits for construction and operation of projects, stating that perhaps Section 7 of the CLCPA does not apply to rate cases. The Commission must reject this interpretation of the CLCPA, which has no basis.

First, Section 7 explicitly places its requirements on "*all state agencies*, offices, authorities, and divisions" (emphasis added). The Department of Public Service ("DPS") and the Commission are state agencies.

Second, Section 7 is intended to be broad and expansive in the scope of decisions it covers, stating: "In considering and issuing permits, licenses, *and other administrative approvals and decisions, including but not limited to* the execution of grants, loans, and contracts..." (emphasis added). Rate recovery approval is an administrative approval. The use of the phrases "and other" as well as "including but not limited to" indicate an intention to cover any kind of decision, and the use of "grants, loans, and contracts" as examples indicates an intention to include decisions—like rate recovery approval—that involve money.

Third, Staff's attempted distinction between rate recovery approval and project approval is a false one. In many instances, DPS is the only state agency to review a project and therefore rate recovery approval or denial is tantamount to project approval or denial. For the Metropolitan Reliability Infrastructure (MRI) Pipeline, for example, DPS was the only state agency that reviewed the project.[1] In initial sanction papers for the MRI Pipeline, the Companies noted under "key issues" that "[t]his is a major capital project that will undoubtedly receive significant scrutiny from the NY PSC, and as such a strategy for rate recovery is required."[2] When DPS staff questioned if Phase 5 of the MRI Pipeline was a prudent investment and recommended that "the Commission require KEDNY to pause work,"[3] National Grid paused construction. Furthermore, the Independent Monitor in Case 19-G-0678 stated in his first quarterly report that prospects for the completion of construction of the MRI Pipeline "remain outstanding" since the project was still under review in this rate case, indicating that the Commission's authority to approve rate recovery has clear implications for the construction and operation of projects. Indeed,

[1] IR NONBK-1
[2] Attachment 1 to DPS-556 Page 5
[3] Staff Reply Brief

Commission approval of rate recovery is very clearly an approval that utility companies take into account when considering whether to start and/or continue construction on a project, and in Staff's own words, the Commission has authority to require the Companies to pause work.

Fourth, regardless of the specific applicability of Section 7 of the CLCPA to rate cases—which we believe is clear, as described above—the Commission is required to consider the Joint Proposal's "consistency with law and with the regulatory, economic, social, and environmental policies of the Commission and the State," according to the Commission's settlement procedures and guidelines.[4] Thus, the standard of review for Joint Proposals assigns the Commission an obligation—independent of the CLCPA—to ensure the Joint Proposal's consistency with all State laws and policies, including the CLCPA.

Finally, we note that even Staff themselves acknowledge that Section 7 "may" apply to rate cases.

III. DPS Staff have not fulfilled their legal obligations under the CLCPA.

Having established that CLCPA Section 7 clearly applies to rate case approvals, we now turn to the question of whether or not DPS Staff have fulfilled their obligations under CLCPA Section 7. Specifically, the Commission is required to find that a decision adopting the Joint Proposal (1) would not interfere with the attainment of required greenhouse gas emissions limits; and (2) would not disproportionately burden disadvantaged communities. The Joint Proposal contains no such finding, and therefore the Commission has no basis upon which to make such a finding.

A. Staff did no analysis of the greenhouse gas emissions increases associated with the Companies' proposed gas infrastructure.

By their own admission in testimony elicited on cross-examination at the June 21, 2021 evidentiary hearing, Staff made no effort to analyze the greenhouse gas emissions increases associated with the Companies' proposed infrastructure[5] or growth in gas sales. Therefore, Staff cannot make a finding either way as to whether a decision to approve the Joint Proposal would or

[4] "Order and Resolution Adopting Settlement Procedures and Guidelines, Opinion No. 92-2," filed on March 24, 1992, in Cases 90-M-0225 and 92-M-0138.
[5] Public Service Commission. (2021). KEDNY | KEDLI - 19-G-0309/0310, 18-M-00270. Transcript of the June 21st, 2021 Evidentiary Hearing, pg. 63, line 5 and pg. 80, line 11. (Cited hereafter as "Evidentiary Hearing Transcript (2021)")

would not interfere with the attainment of the statewide greenhouse gas emissions limits established by the CLCPA: 40% greenhouse gas emissions reductions from 1990 levels by 2030 and 85% reduction by 2050.

Nevertheless, Staff argue in their reply statement that the Joint Proposal is consistent with Section 7(2) because it "provides rate recovery for repairs of leaks on, and removal of leak prone pipe from, the Companies' networks. This reduces emissions of methane. Additionally, the Joint Proposal enables accelerated energy efficiency and demand response measures and commits the Companies' to electrification efforts. These measures help to minimize the GHG emissions of end users of the Companies' gas networks."

Yet Staff have provided *no quantitative backing for this statement*, and therefore the Commission has no way to determine the size of the emissions reductions Staff claim will come from leak prone pipe replacement, energy efficiency, and electrification. The Joint Proposal is predicated on a gas forecast showing *increasing* gas demand.[6] Staff has not quantified the emissions associated with that increased demand, and therefore has no basis upon which to claim that the Joint Proposal complies with Section 7(2).

B. Staff did no analysis of the potential burdens on disadvantaged communities of the Companies' proposed gas infrastructure.

By their own admission in testimony elicited on cross-examination at the June 21, 2021 evidentiary hearing, Staff made no effort to analyze the impacts of proposed gas infrastructure projects and expansions on the disadvantaged communities in which they are located.[7] Therefore, Staff cannot make a finding either way as to whether a decision to approve the Joint Proposal would or would not "disproportionately burden disadvantaged communities."

Regarding compliance with Section 7(3), Staff argue that "there is no evidence in these cases that the location of MRI project Phase 1 through Phase 4 or the proposed projects at the Greenpoint LNG facility 'disproportionately burden disadvantaged communities.'"

There are, in fact, several pieces of evidence provided by parties to this proceeding and several public comments showing that (1) the above referenced infrastructure projects are located in disadvantaged communities and (2) gas infrastructure and gas use pose increased health and safety risks[8] and these impacts are heightened for residents living in areas already plagued by

[6] National Grid "Supply and Demand Analysis Related to Service Areas with Known Supply Constraint Vulnerabilities," filed on July 17, 2020, in Case 20-G-0131.
[7] Evidentiary Hearing Transcript (2021), pg. 40, line 25 and pg. 84, line 4.
[8] Evidentiary Hearing Transcript (2021), pgs. 33-53.

pollution (as AGREE described in its Opposition Statement). Taken together, (1) the fact that the Companies' proposed gas infrastructure is located in disadvantaged communities and (2) the scientific literature on the health and safety risks of such infrastructure constitute evidence that the Companies' projects disproportionately burden disadvantaged communities.

But all of this is beside the point, because Section 7(3) of the CLCPA unequivocally places responsibility on state agencies, authorities, and divisions, stating that they "*shall not* disproportionately burden disadvantaged communities as identified pursuant to subdivision 5 of section 75-0101 of the environmental conservation law" (emphasis added). Further, Section 7(3) states that all state agencies, offices, authorities, and divisions "*shall also* prioritize reductions of greenhouse gas emissions and co-pollutants in disadvantaged communities as identified pursuant to such subdivision 5 of section 75-0101 of the environmental conservation law" (emphasis added).

That is, the plain language of Section 7 of the CLCPA makes clear that all state agencies, including the Commission, have affirmative obligations to (1) ensure that disadvantaged communities are not disproportionately burdened and (2) prioritize disadvantaged communities for reductions of emissions and pollutants. Staff, by their own admission, made no attempt to fulfill either of these obligations. *The law assigns these obligations to state agencies, not to intervening parties*; thus, Staff's (incorrect) belief that "there is no evidence [of disproportionate burden] in these cases" does not relieve Staff of their independent obligation to thoroughly assess potential impacts on disadvantaged communities.

Under cross examination at the evidentiary hearing, Staff attempted to avoid answering questions about the potential impacts of the Companies' projects on disadvantaged communities by asking "Is there a specific definition of disadvantaged communities?" even though Staff had themselves used the term in their Reply Statement. Staff then appeared to acknowledge that the Companies' proposed projects are located in and near disadvantaged communities, but disputed that those communities were therefore disproportionately burdened as a result.

Staff's acknowledgement that the Companies' projects are located in and near disadvantaged communities should automatically warrant further analysis by Staff as to whether those projects disproportionately burden disadvantaged communities. To underscore the high likelihood of disproportionate burden on disadvantaged communities as a result of the Companies' projects, the environmental and community parties performed the following experiment, which took us all of 15 minutes.

First, we googled “disadvantaged communities in New York.” The very first result is a page on the NYSERDA website (https://www.nyserda.ny.gov/ny/disadvantaged-communities) that provides “interim criteria for a disadvantaged community as defined by New York State” and a map that anyone can use to find communities that meet those criteria.

We then zoomed in on that map to view the area where the MRI Pipeline and Greenpoint LNG facility are located and took a screenshot of the map. We overlaid the route of the MRI Pipeline and the location of the Greenpoint LNG facility onto the map as shown in Figure 1.

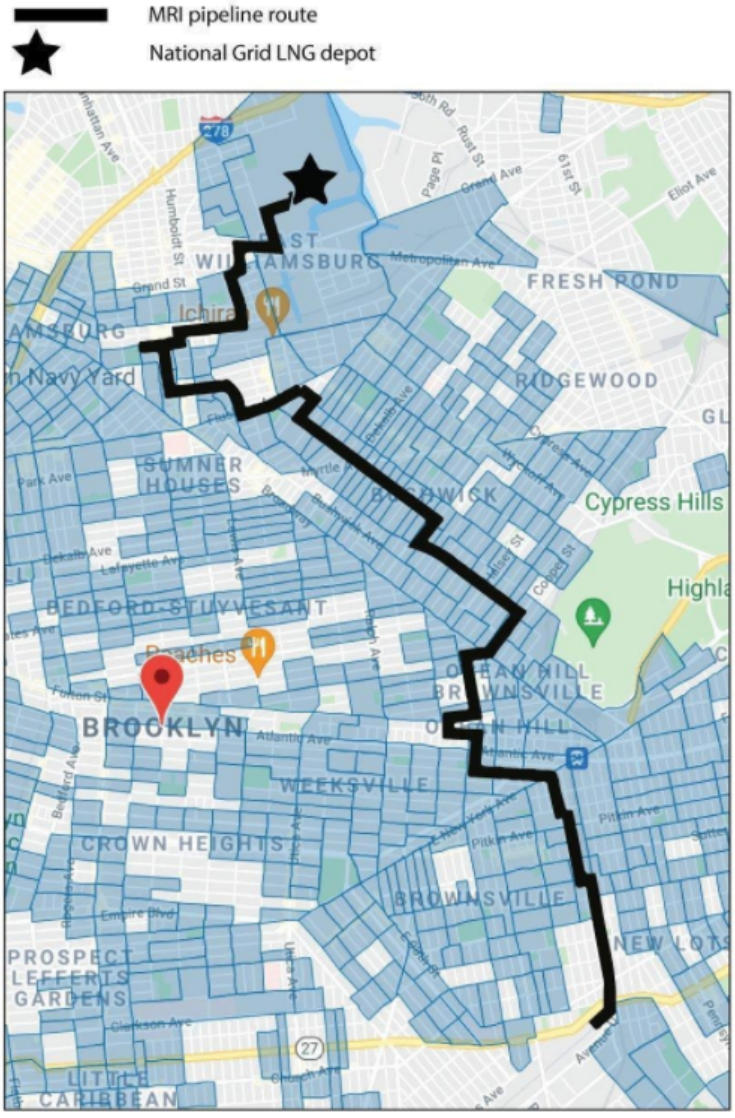


Figure 1: Route of the MRI Pipeline and the location of the Greenpoint LNG facility. The shaded blue areas show disadvantaged communities in Brooklyn, New York as defined by interim criteria set by New York State.

This 15 minute project allowed us to clearly see that these projects are not only sited in disadvantaged communities but *appear to avoid non-disadvantaged communities*. Given the locations of the Companies' projects as illustrated by the map above, it boggles our mind that Staff did not bother to conduct any further inquiry or analysis into the potential disproportionate impacts of the projects on disadvantaged communities. In Staff's reply statement, Staff admit, "It is unclear what burden KEDNY's safe and adequate operation of the buried MRI Phase 1 through Phase 4 pipeline creates." It is unclear because Staff did no analysis to clarify this.

Staff go on to claim that "the Greenpoint LNG facility has been in operation for decades" and that "the projects identified in these rate proceedings upgrade, but do not substantially modify the structure or the burdens it places on the surrounding community." In fact, the proposed "upgrade" to the LNG facility includes two additional vaporizers, which would add new stacks and sources of emissions to the facility. Nevertheless, Staff provided no evidentiary basis for the claim that the changes to the Greenpoint LNG facility will not increase burdens on the hosting community.

Moreover, under the CLCPA and other New York State environmental justice laws and policies, the fact that the Greenpoint LNG facility has been polluting surrounding disadvantaged communities for decades only *strengthens* the case for robust protections for these communities and *heightens* the need for more intense scrutiny of the Companies' projects at the facility. Staff seem to be leaning on a "status quo" argument (the facility has been in operation for decades) to justify not applying the law to the projects in this rate case that are located in disadvantaged communities. But Section 7(3) requires state agencies to improve on the status quo by "prioritiz[ing]" disadvantaged communities for reductions of greenhouse emissions and co-pollutants. This is because the intent of the CLCPA is to reverse decades of unjust and racist impacts of the energy system: "Climate change especially heightens the vulnerability of disadvantaged communities, which bear environmental and socioeconomic burdens as well as legacies of racial and ethnic discrimination. Actions undertaken by New York state to mitigate greenhouse gas emissions should prioritize the safety and health of disadvantaged communities, control potential regressive impacts of future climate change mitigation and adaptation policies on these communities, and prioritize the allocation of public investments in these areas."[9] The statutory intent underlying the CLCPA's disadvantaged communities provisions was to address the injustice of the status quo and ensure greater equity by increasing the remedies available to

[9] N.Y. Legislature Regular Session 2019-2020 (2019). S6599/A8429 Climate Leadership and Community Protection Act, Section 1, https://www.nysenate.gov/legislation/bills/2019/s6599

residents of such communities with respect to the placement of facilities that may increase greenhouse gas emissions and other pollutants. Reliance by Staff on the status quo as an excuse for not applying the CLCPA shows that Staff has failed to grasp the meaning of New York's landmark climate change and environmental justice legislation.

C. Neither Staff nor the Companies have considered the full lifecycle emissions of the Companies' proposed gas infrastructure, as required by the CLCPA.

Throughout these proceedings and in the June 21, 2021 evidentiary hearing, the Companies testified that they have not conducted evaluations of greenhouse gas emissions from gas combustion.[10] The Companies have also testified that their greenhouse gas emissions reduction goals do not include combustion-related emissions.[11] Staff indicate in their Reply Statement that they, too, have failed to consider combustion-related emissions when determining whether to grant rate recovery for the Companies' projects, stating that "[a]ny GHG emissions from the use of gas supplied to end users via the Long-Term Capital Capacity Projects are not a foregone conclusion."[12]

The CLCPA requires a comprehensive, economy-wide evaluation of greenhouse gas emissions, including combustion-related emissions,[13] and there are metrics to quantify those emissions.

IV. The Commission must consider and fully comply with the mandates of the CLCPA in a rate proceeding when approving new gas infrastructure projects, regardless of the purported justification for such projects.

A. Staff's suggestion that the Commission cannot fulfill its obligations under both the Public Service Law and the CLCPA has no basis.

While Staff cannot determine whether or not the projects in the Joint Proposal comply with the CLCPA since they have done no analysis of greenhouse gas emissions or potential

[10] Evidentiary Hearing Transcript (2021), pg. 65, lines 5-21.
[11] Corrected Evidentiary Hearing Transcript Volume 1. February 10, 2020. Page 394, Lines 12-25. Available at: http://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId=%7B1F70B9AD-710C-4363-ACC5-1DBF7CAC9BAE%7D.
[12] Department of Public Service Staff (June 14, 2021). Staff Reply Statement, p. 8. Available at: http://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={70C61079-DDED-4904-B968-7746E7141ED7} .
[13] ECL 75-0105(2)

impacts on disadvantaged communities, they claim that even if "Long-Term Capital Capacity Projects [were] inconsistent with §7 of the CLCPA, the cost recovery is only being allowed due to the necessity of the Long-Term Capital Capacity Projects to ensure safe, adequate, and reliable service to customers to meet a basic life need, warm shelter during cold weather."[14]

Staff seek to pick and choose which parts of state law to comply with and which to ignore, apparently arguing that a utility company's obligation under the Public Service Law to provide "safe and reliable service" somehow supersedes state agencies' obligations under the CLCPA.

The Commission's legal obligations under the CLCPA do not disappear when the purported justification for fracked gas projects is "safety, adequacy, and reliability" of service. According to Staff, it is impossible for the Commission to comply with both the Public Service Law and the CLCPA. This position has no basis, and the Legislature's repeated references to the Public Service Law in the CLCPA clearly evidence a statutory intent for the Commission to harmonize the Public Service Law and the CLCPA in its regulatory activities.[15] In fact, as established throughout this proceeding and during cross-examination of the Companies during the June 21, 2010 evidentiary hearing, the Companies themselves have proposed an option—the no-infrastructure option—that would ensure safe and reliable service as well as compliance with the CLCPA.

This option should have been presented to the Commission for approval; in fact, Section 7 of the CLCPA requires state agencies to identify such alternatives. Staff and the Companies' main arguments against the no-infrastructure option in their Reply Statements were related to the supposed cost of that option and the asserted difficulty of implementing that option; but neither party suggested that this option is not viable. In our view, the no-infrastructure option is the only option provided in the Companies' Long Term Capacity Report that complies with all state laws because it was developed to meet the "reliability gap" identified in case 19-G-0678 as affecting the Companies and would also comply with the CLCPA. The Commission must reject Staff's presentation of a false choice—which law to follow—and must follow *all* applicable law.

[14] Staff Reply Statement, p. 8
[15] Section 4 of the CLCPA, for example, amends the Public Service Law by adding a new section to establish a renewable energy program.

B. Staff's narrow conception of "safe" service is inconsistent with the CLCPA's conception of "safety," which includes the climate change, pollution, and other health impacts of greenhouse gas emissions.

In testimony elicited on cross-examination at the July 21, 2021 evidentiary hearing, DPS Staff were unwilling or unable to elaborate on the factors that Staff consider when determining a utility company's compliance with its obligation to provide "safe" service, suggesting that Staff are continuing to use a very narrow definition of "safe" that fails to include any potential safety and public health impacts to disadvantaged communities from emissions of fossil fuel projects such as the Greenpoint LNG Vaporizers and MRI Pipeline. As Sane Energy Project[16] and other parties in this case have argued, the Commission must reassess the meaning of "safe and reliable," including by considering the implications of the ongoing and increasingly urgent climate crisis, which was not in consideration when the Public Service Law was written. The CLCPA also includes discussion of safety, stating that "[a]ctions undertaken by New York state to mitigate greenhouse gas emissions should prioritize the *safety* and health of disadvantaged communities" (emphasis added). This conception of safety—one that includes risks from climate change, pollution, and other impacts of fracked gas infrastructure—must be considered by DPS Staff and the Commission when evaluating the Companies' compliance with its obligation to provide safe and reliable service.

In this rate case,[17] as well as in other proceedings before the Commission, Staff has stated that increased gas use will be necessary for record cold days, specifically referencing the winter storms that crippled the Texas energy system this year. Staff's argument is only valid if the climate impacts of extracting, transporting, delivering, and combusting fracked gas are ignored. UN weather experts confirmed the extreme cold in Texas was caused by a polar vortex resulting from warmer temperatures in the Arctic caused by global warming.[18] Staff are essentially arguing that rate recovery should be approved for more fracked gas projects without acknowledging the climate impacts of these projects, which cause increased occurrences of precisely the extreme weather events that Staff cite to justify approval of the projects.

[16] Sane Energy Project Initial Brief
[17] Staff Reply Statement in Opposition Page 21
[18] Polar vortex responsible for Texas deep freeze, warm Arctic temperatures. (2021, March 9). *UN News*. Available at: https://news.un.org/en/story/2021/03/1086752

C. Staff's suggestion that only DEC is responsible for examining greenhouse gas emissions for the Companies' proposed infrastructure has no basis.

In testimony elicited on cross-examination during the June 21, 2021 evidentiary hearing, DPS Staff testified not only that they have done no analysis of greenhouse gas emissions for any project in the Joint Proposal, but also that "it is DEC's duty to look at greenhouse gas emissions for permitting."[19] As noted above, the CLCPA clearly imposes its mandates upon "all state agencies," including the Commission.

Furthermore, only a handful of projects in the Joint Proposal undergo DEC review for permits, leaving the vast majority of the capital investment in fossil fuel projects unassessed for compliance with the CLCPA if DPS fails to undertake this assessment.

DPS is arguably the agency best in position to assess compliance with the CLCPA because rate cases show the entirety of utility plans. DEC often receives applications for projects that have been illegally segmented from other projects, and these applications do not include in their scope the full lifecycle greenhouse gas emissions from the gas delivered by utilities.

V. The CLCPA took effect on January 1, 2020, the Commission has an obligation to implement the CLCPA based on the plain language of the statute, and other state agencies have already been applying the CLCPA in their determinations.

The Department of Public Service and the Commission must apply the plain language of the CLCPA to this rate case. Any interpretation of the CLCPA that suggests that these state agencies must await further guidance from the Climate Action Council, Climate Justice Working Group, or others before proceeding with implementation would thwart the clear intent of the New York State Assembly and is not suggested by the plain language of the statute. The legal effectiveness of the CLCPA was not made subject to implementing regulations, and the plain language of the CLCPA indicates the legislature's acute awareness of the increasing urgency of the climate crisis and an intent to take immediate measures to curb the crisis. (See, e.g., *Schneider v. Navient Sols., LLC*, No. 16-CV-6760 CJS, at *5 (W.D.N.Y. June 7, 2018) ("Although [the statute in question] gave [the relevant agency] nine months to prescribe implementing regulations, such fact does not mean the statute did not become effective as soon as it was signed by the President").

[19] 2021 Evidentiary Hearing Transcript, pg. 61, Lines 22-24

Other state agencies have already been applying the CLCPA to their decision-making, even in the absence of guidance to be developed by the Climate Action Council, the Climate Justice Working Group, and agency regulations.

For instance, as noted above, NYSERDA has developed a webpage showing areas throughout the State that "meet the interim criteria identified for a disadvantaged community as defined by New York State." On its webpage (https://www.nyserda.ny.gov/ny/disadvantaged-communities), NYSERDA states:

> The Climate Leadership and Community Protection Act (CLCPA) requires state agencies, authorities, and entities to direct funding in a manner designed to achieve a goal for disadvantaged communities to receive forty percent of overall benefits of spending on clean energy and energy efficiency programs. The CLCPA directs the CJWG [Climate Justice Working Group] to establish criteria for defining disadvantaged communities, however until the criteria is established, New York State has identified interim criteria for disadvantaged communities, which includes communities:
>
> - Located within census block groups that meet the HUD 50% AMI threshold* (see below), that are also located within the DEC Potential Environmental Justice Areas; or
> - Located within New York State Opportunity Zones

Similarly, the Department of Environmental Conservation has used the plain language of the CLCPA in its determinations regarding gas infrastructure and gas power plants. DEC's denial of the 401 Water Quality Permit for the Williams NESE pipeline is a particularly relevant example.[20] DEC considered the CLCPA in its determination, even though the permit application for that project was submitted before passage of the CLCPA:

> **First, the Project will result in GHG emissions, which cause and contribute to climate change. GHG emissions associated with the Project include those from the full lifecycle of natural gas that will be transported through the Project… Second, in order to achieve the State's critical and ambitious climate change and clean energy policies, the State needs to continue its ongoing transition away from natural gas and other fossil fuels.** While the Department recognizes that many building assets in the State currently rely on natural gas for heating and other energy uses, **the continued**

[20] Daniel Whitehead, Director of Division of Environmental Permits (2020, May 15). Re: Notice of Denial of Water Quality Certification; Transcontinental Gas Pipe Line Company, LLC; Northeast Supply Enhancement Project; DEC ID: 2-9902-00109/00006 – Water Quality Certification. Albany, NY; Division of Environmental Permits.

> **long-term use of fossil fuels is inconsistent with the State's laws and objectives and with the actions necessary to prevent the most severe impacts from climate change**. …. **Third, the Climate Act requires a reduction of GHG emissions, a transition to renewable and other clean sources of energy, and a pathway for the ultimate achievement of net zero GHG emissions** in all sectors of the economy. The Project would be inconsistent with or interfere with the Statewide GHG emission limits and other requirements established in the Climate Act, without the identification of additional alternatives or GHG mitigation measures.
>
> ....Furthermore, the Climate Act establishes a Climate Action Council, which among other things will be required to develop a Scoping Plan. The Scoping Plan must outline recommendations for attaining the Statewide GHG emission limits established pursuant to ECL Section 75-0107, including regulatory measures to be implemented by NYSDEC. The Scoping Plan to be developed by the Climate Action Council must also include recommendations for the reduction of GHG emissions beyond the 85 percent by 2050 reduction requirement, to achieve net zero emissions in all sectors of the economy. Many details regarding implementation of the Climate Act will be determined by the Climate Action Council in the Scoping Plan, and during the regulatory process by NYSDEC and other agencies, with substantial input from environmental justice and other stakeholders. **Notwithstanding these important processes, it is already clear that achievement of the Statewide GHG emission limits established pursuant to ECL Section 75-0107, as well as achievement of net zero emissions in all sectors of the economy, will ultimately require a transition away from natural gas and other fossil fuels to produce energy. As this Project would facilitate the use of natural gas for an extended period of time, and may frustrate or delay the necessary transition away from natural gas to renewable and other clean sources of energy, it is clear that the Project as it is currently envisioned is inconsistent with the energy and climate policies, laws, and goals of the State** (emphasis added).

The Commission should take particular note of DEC's determination on NESE because it sets a clear example of how another state agency has applied the CLCPA to a proposal similar to those at issue in this case. In fact, DEC's findings on NESE could be applied nearly verbatim to the Long Term Capacity Capital Projects at issue in this rate case, as those projects are meant to deliver the exact same fuel to the same region.

DEC is also applying Section 7(2) of the CLCPA in its consideration of a proposed permit for the Danskammer power plant.[21] In the notice for public comment on the permit, DEC writes:

[21] NYS Department of Environmental Conservation. (2021, June 30). Danskammer Generating Station, Application ID: 3-3346-00011/00017, Notice for Public Comment. Environmental Notice Bulletin Region 3 Completed Applications. Available at: https://www.dec.ny.gov/enb/20210630_reg3.html#333460001100017.

> There are substantial greenhouse gas (GHG) emissions which are currently associated with the existing and proposed uses. Based on the information currently available, **it appears that the proposed project would be inconsistent with or would interfere with the attainment of the Statewide GHG emission limits established in the Climate Act.**
>
> **Pursuant to Section 7(2) of the Climate Act, if an agency's decision would be inconsistent with or would interfere with the Statewide GHG emission limits, then the agency must also: (1) provide a detailed statement of justification of the project notwithstanding inconsistency with the Climate Act; and (2) identify alternatives or GHG mitigation measures to be required. Based on the information provided to date, the Department is not currently able to satisfy either of these two elements with respect to the proposed project absent additional information.** (Emphasis added).

Thus, other state agencies have already proceeded with applying Section 7 of the CLCPA to their determinations, as the statute requires. The Commission must now follow suit and fulfill its obligations.

VI. Conclusion

For all of the aforementioned reasons, we urge the Commission to reject the Joint Proposal filed in this proceeding. The Commission should reject DPS Staff's argument that Section 7 of the CLCPA "may" not apply to this proceeding, as the plain language of the statute makes clear that *all* decisions of *all* state agencies are subject to the CLCPA. The Commission should also find that DPS Staff have not fulfilled two of their key obligations under the CLCPA, failing to either (1) assess greenhouse gas emissions increases associated with the projects contained in the Joint Proposal; or (2) assess the projects' potential disproportionate burdens on disadvantaged communities. Without these assessments, the Commission is in no position to determine whether or not the Joint Proposal is CLCPA-compliant. Finally, the Commission should reject DPS Staff's suggestion that the Public Service Law and the CLCPA are somehow fundamentally incompatible with one another; indeed, the Commission is obligated to meet the requirements of both laws, and the Companies have already advanced a viable option (the no-infrastructure option) that would ensure safe and reliable service as well as compliance with New York State's landmark climate legislation.

Respectfully submitted on behalf of the environmental and community parties,

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July 12, 2021